# FINANCES

## SATO'S TAX FOOTPRINT IN 2022

Taxes to be paid during the financial year

**Direct**

- Income tax **EUR 42.5 million**
- Employer contributions **EUR 3.8 million**
- Transfer tax on investments **EUR 0.2 million**
- Property tax **EUR 8.4 million**


**Indirect**

- Energy and insurance tax **EUR 0.9 million**
- VAT included in investments that is not deducted **EUR 33.7 million**
- VAT included in purchases that is not deducted **EUR 18.1 million**


Taxes to be reported during the financial year

- Tax withheld on salaries **EUR 4.5 million**
- Net VAT on sales **EUR 0.7 million**


Total **EUR 112.7 million**

Taxes paid to Finland
EUR 111.2 million

## CASH FLOW IN 2022, EUR MILLION

**CUSTOMERS**
Net sales 291.2

**FINANCIERS, INVESTORS**
Withdrawal of loans 147.1
Equity issued 0

**OTHER MARKET PARTICIPANTS**
Divestments of housing property 210.6
Other operating income 2.7

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**SUPPLIERS**
Purchases 106
Investments 207.5

**PUBLIC SECTOR**
Direct taxes 54.9
Indirect taxes 52.6
Land rents and land use fees 5.2

**FINANCIERS, INVESTORS**
Interest and financial expenses -50.2
Repayments 174.2
Dividend 28.3

**PERSONNEL**
Salaries, benefits and pension expenses 21.6

# ENVIRONMENT

## ENERGY

| Energy consumption within the organization | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 |
|---|---|---|---|---|---|---|---|---|---|---|
| Total, MWh | 238,263 | 283,484 | 264,874 | 263,465 | 256,624 | 236,480 | 272,351 | 242,107 | -30,244 | -11.1% |
| **Share of purchased energy:** | | | | | | | | | | |
| Electricity, MWh | 23,689 | 24,531 | 23,624 | 24,285 | 24,243 | 27,033 | 27,025 | 27,791 | 766 | 2.8% |
| District heat, MWh | 214,056 | 258,299 | 240,427 | 238,493 | 231,701 | 208,884 | 244,910 | 214,236 | -30,674 | -12.5% |
| **Share of own production:** | | | | | | | | | | |
| Oil, MWh | 518 | 654 | 823 | 687 | 680 | 563 | 416 | 80 | -336 | -80.8% |

| Specific energy consumption | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 | Change, % 2015–2022 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Consumption of heating energy, adjusted for weather, kWh/rm$^3$/a | 42.9 | 41.5 | 41.8 | 40.7 | 39.8 | 37.8 | 38.1 | 36.1 | -2.1 | -5.4% | -16.0% |
| Consumption of electricity, kWh/m$^3$/a | 3.9 | 3.9 | 3.9 | 3.9 | 3.9 | 4.2 | 4.2 | 4.5 | 0.3 | 7.1% | 15.7% |
| Total, kWh/m$^3$/a | 46.8 | 45.4 | 45.7 | 44.6 | 43.7 | 42.0 | 42.3 | 40.6 | -1.8 | -4.1% | -13.3% |

## EMISSIONS

| Greenhouse gas (GHG) emissions | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 |
|---|---|---|---|---|---|---|---|---|---|---|
| **GRI 305-1 Direct greenhouse gas emissions, t CO2-e (scope 1)** | 135 | 170 | 214 | 179 | 177 | 147 | 105 | 20 | -85 | -81.0% |
| **GRI 305-2 Indirect greenhouse gas emissions*, t CO2-e (scope 2)** | | | | | | | | | | |
| Indirect greenhouse gas emissions, t CO2-e (market-based) | 37,674 | 48,560 | 39,430 | 36,728 | 34,292 | 30,915 | 43,349 | 37,920 | -5,429 | -12.5% |
| Indirect greenhouse gas emissions, t CO2-e (location-based) | 41,962 | 52,583 | 43,163 | 40,152 | 37,468 | 34,456 | 45,754 | 40,393 | -5,361 | -11.7% |
| **GRI-305-3 Other indirect greenhouse gas emissions, t CO2-e** (scope 3)** | 1,834 | 948 | 240 | 49 | 46 | 37 | 49 | 49 | 0 | 0.0% |
| Total emissions of greenhouse gases, t CO2-e | 39,643 | 49,678 | 39,884 | 36,955 | 34,515 | 31,098 | 43,503 | 37,989 | -5,514 | -12.7% |

* In line with the GHG Protocol standard, a location-based emission figure has been reported for electricity consumption. The market-based figure is used in combined emission figures. The location-based figure refers to figures calculated using country-specific emission coefficients and figures calculated using electricity-supplier-specific, market-based emission coefficients. If the emission coefficients given for the calculation year were not available for the previous year's calculation, this data was recalculated for this report using the emission coefficient data given for the year in question. Due to a possible recalculation, the emissions data reported for the preceding year may deviate from the data reporting in the previous emissions report. Electricity does not produce any emissions because it is produced 100% by nuclear power.

** Emissions from residents' waste

The following SATO environmental sustainability indicators have been assured by an independent third party. See Sustainability concepts for more information about key figures and definitions of concepts.



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| GHG emission intensity of buildings | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 | Change, % 2018–2022 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| kg $CO_2$-e/m$^2$ | 32.2 | 35.5 | 29.9 | 27.3 | 25.3 | 26.6 | 31.1 | 28.2 | -2.9 | -9.3% | 3.3% |
| kg $CO_2$-e/person | 903.7 | 1,033.5 | 850.8 | 781.2 | 697.6 | 746.4 | 869.4 | 815.1 | -54.3 | -6.2% | 4.4% |

## WATER

| Total water withdrawal by source | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 |
|---|---|---|---|---|---|---|---|---|---|---|
| Total, 1,000 m$^3$ | 2,329 | 2,622 | 2,507 | 2,537 | 2,578 | 2,674 | 2,620 | 2,477 | -143 | -5.5% |

All SATO properties use municipal water supply.

| Specific water consumption | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 | Change, % 2018–2022 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| l/m$^3$/a | 418 | 412 | 414 | 411 | 409 | 414 | 409 | 401 | -8 | -2.0% | -2.4% |

## WASTE

| Total weight of waste from tenants | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | Change, 2021–2022 | Change, % 2021–2022 |
|---|---|---|---|---|---|---|---|---|---|---|
| tonnes | 21,578 | 23,985 | 23,573 | 24,124 | 27,269 | 28,131 | 29,806 | 28,361 | -1,445 | -4.8% |
| t $CO_2$-e | 1,834 | 948 | 240 | 49 | 46 | 37 | 49 | 49 | 0 | 0.0% |

| Distribution of waste from tenants by disposal method | 2020,% | 2021, % | 2022, % | 2020, t | 2021, t | 2022, t |
|---|---|---|---|---|---|---|
| For recycling | 29.3% | 28.1% | 24.6% | 8,249 | 8,378 | 6,978 |
| For energy | 55.6% | 58.0% | 62.3% | 15,631 | 17,226 | 17,667 |
| To landfill sites | 1.0% | 0.5% | 0.4% | 267 | 163 | 122 |
| Composting | 14.1% | 13.5% | 12.5% | 3,978 | 4,017 | 3,543 |
| Incineration without energy recovery | 0.0% | 0.1% | 0.2% | 6 | 23 | 51 |

| Land remediated and in need of remediation for the existing or intended land use | 2020 | 2021 | 2022 |
|---|---|---|---|
| Remediated soil*, t | 0 | 2,463 | 415 |
| Soil known to be in need of remediation, m$^2$ | 2,500 | 0** | 1,200 |

* The reporting unit has been changed to reflect the measured data
** There are areas known to be in need of remediation, but the investigations on these are still in progress

## ENERGY & WATER CONSUMPTION AND WASTE VOLUMES AT CONSTRUCTION SITES IN 2022

| | | |
|---|---|---|
| **Basic information** | Number of worksites | 25 |
| | Number of apartments (under construction or renovation 2019) | 2,408 |
| | Floor area, $m^2$ | 115,946 |
| | Gross floor area, $m^2$ | 166,761 |
| | Net floor area, $m^2$ | 102,778 |
| | Volume $m^3$ | 510,009 |
| | Number of construction months construction and renovation | 212 |
| **Water** | Water consumption, $m^3$ | 3,095 |
| | Water consumption, l/gm²/month | 3.29 |
| **Energy** | Electricity consumption, MWh | 1,637 |
| | Electricity consumption, kWh/gm²/month | 2.00 |
| | District heat, MWh | 3,554 |
| | District heat consumption, kWh/gm²/month | 8.02 |
| **Waste** | Total volume of waste from construction and renovation sites, t | 9,575 |
| | Mixed waste, t | 1,151 |
| | Wood waste, t | 1,452 |
| | Stone waste, t | 367 |
| | Concrete waste, t | 3,468 |
| | Plaster waste, t | 217 |
| | Energy, t | 51 |
| | Metal, t | 148 |
| | Other waste, t | 152 |
| | Soil, t | 2,099 |
| | Asbestos, t | 204 |
| | Other hazardous materials, t | 314 |
| | Impregnated wood, t | 3 |

## WASTE VOLUMES FROM DEMOLISHED BUILDINGS

| **Total waste volume, t** | **0** |
|---|---|
| Number of worksites | 0 |
| Mixed waste, t | 0 |
| Wood waste, t | 0 |
| Concrete waste, t | 0 |
| Metal, t | 0 |
| Other waste, t | 0 |
| Asbestos, t | 0 |
| Impregnated wood, t | 0 |

| Sustainability focus areas | Disclosure | Location and additional information |
|---|---|---|
| **GRI 404: Training and education (2016)** | | |
| 404-1 | Average hours of training per year per employee | Personnel |
| 404-2 | Programs for upgrading employee skills and transition assistance programs | Personnel |
| 404-3 | Percentage of employees receiving regular performance and career development reviews | Sustainability guides our operations<br>Performance reviews apply to all employees; the personal data on employees in St Petersburg is not in the system due to Russian data privacy legislation. During 2022, 95% of active personnel have attended a performance review. |
| **GRI 405: Diversity and equal opportunity (2016)** | | |
| 405-1 | Diversity of governance bodies and employees | Key figures |
| 405-2 | Ratio of basic salary and remuneration of women to men | Key figures |
| **GRI 415: Public policy (2016)** | | |
| 415-1 | Political contributions | In line with our Code of Conduct, we do not financially support political parties or groups or politicians. |
| **GRI 416: Customer health and safety (2016)** | | |
| 416-1 | Assessment of the health and safety impacts of product and service categories | Customer experience<br>As stated in SATO's design guidelines, construction work must be carried out in accordance with good construction practices. Construction work follows valid legislation, regulations and regulatory provisions and general quality requirements for construction work. We use M1 class construction materials as specified in the list maintained by Rakennustietosäätiö in interior surface structures. |
| 416-2 | Incidents of non-compliance concerning the health and safety impacts of products and services | Customer experience<br>No fines or convictions from the safety or health perspectives of products/services in 2022. |
| **GRI 418: Customer privacy (2016)** | | |
| 418-1 | Substantiated complaints concerning breaches of customer privacy and losses of customer data | No known confirmed complaints. During the reporting year we identified 5 incidents in which customer data had been sent to the wrong persons. The customers were informed of the incidents. |
| **GRI 419: Socio-economic compliance (2016)** | | |
| 419-1 | Non-compliance with laws and regulations in the social and economic area | Corporate governance statement<br>No fines or sanctions in 2022. |
| **SATO's own material topic: Customer service and satisfaction** | | |
| | Multilingual customer service and communication | Customer experience |
| | Promoting a sense of community | Customer experience |

# TCFD INDEX

| Main theme of reporting and recommendation on disclosures | Location and additional information |
|---|---|
| **Governance** | |
| a. Describe the board's oversight of climate-related risks and opportunities. | TCFD report, Corporate governance statement |
| b. Describe management's role in assessing and managing climate-related risks and opportunities. | Corporate governance statement, Sustainability management |
| **Strategy** | |
| a. Describe the climate-related risks and opportunities the organisation has identified over the short, medium, and long term. | TCFD report |
| b. Describe the impact of climate-related risks and opportunities on the organisation's businesses, strategy, and financial planning. | TCFD report, Strategy |
| c. Describe the resilience of the organisation's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario. | Sustainability programme, TCFD report, Risk management |
| **Risk management** | |
| a. Describe the organisation's processes for identifying and assessing climate-related risks. | Risk management, TCFD report |
| b. Describe the organisation's processes for managing climate-related risks. | Risk management, TCFD report |
| c. Describe how processes for identifying, assessing and managing climate-related risks are integrated into the organisation's overall risk management. | Risk management, TCFD report |
| **Metrics and targets** | |
| a. Disclose the metrics used by the organisation to assess climate-related risks and opportunities in line with its strategy and risk management process. | Sustainability programme, Objectives table |
| b. Disclose Scope 1, Scope 2 and, if appropriate, Scope 3 greenhouse gas emissions and the related risks. | Key indicators |
| c. Describe the targets used by the organisation to manage climate-related risks and opportunities and performance against targets. | Sustainability programme, Objectives table, TCFD report |

# ASSURANCE REPORT

## INDEPENDENT ASSURANCE REPORT TO THE MANAGEMENT OF SATO OYJ

We have been engaged by the Management of Sato Oyj (hereafter "Sato") to provide limited assurance on selected corporate environmental indicators[1] presented in Sato's Sustainability Report 2022 (hereafter "Corporate Sustainability Information") for the year ended 31 Dec 2022.

**Management's responsibilities**

The Management of Sato is responsible for the preparation and presentation of the Corporate Sustainability Information in accordance with the reporting criteria, i.e. GRI Sustainability Reporting Standards, and the information and assertions contained within it. The Management is also responsible for determining Sato's objectives with regard to sustainable development performance and reporting, including the identification of stakeholders and material issues, and for establishing and maintaining appropriate performance management and internal control systems from which the reported performance information is derived.

**Our responsibilities**

Our responsibility is to carry out a limited assurance engagement and to express a conclusion based on the work performed. We conducted our assurance engagement on the Corporate Sustainability Information in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements other than Audits or Reviews of Historical Financial Information, issued by the International Auditing and Assurance Standards Board IAASB. That Standard requires that we plan and perform the engagement to obtain limited assurance about whether the Corporate Sustainability Information is free from material misstatement.

KPMG Oy Ab applies International Standard on Quality Management ISQM 1 which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have complied with the independence and other ethical requirements of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants, (including International Independence Standards) (IESBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

**Procedures performed**

A limited assurance engagement on Corporate Sustainability Information consists of making inquiries, primarily of persons responsible for the preparation of information presented in the Corporate Sustainability Information, and applying analytical and other evidence gathering procedures, as appropriate. In the engagement, we have performed the following procedures, among others:

- Interviewed a member of Sato's senior management and relevant staff responsible for providing the Corporate Sustainability Information;
- Assessed the application of the GRI Sustainability Reporting Standards reporting principles in the presentation of the Corporate Sustainability Information;
- Assessed data management processes, information systems and working methods used to gather and consolidate the Corporate Sustainability Information;
- Reviewed the presented Corporate Sustainability Information and assessed its quality and reporting boundary definitions; and
- Assessed the Corporate Sustainability Information's data accuracy and completeness through a review of the original documents and systems on a sample basis.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

**Inherent limitations**

Inherent limitations exist in all assurance engagements due to the selective testing of the information being examined. Therefore fraud, error or non-compliance may occur and not be detected. Additionally, non-financial data may be subject to more inherent limitations than financial data, given both its nature and the methods used for determining, calculating and estimating such data.

**Conclusion**

Our conclusion has been formed on the basis of, and is subject to, the matters outlined in this report.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusions.

Based on the procedures performed and the evidence obtained, as described above, nothing has come to our attention that causes us to believe that the Corporate Sustainability Information subject to the assurance engagement is not prepared, in all material respects, in accordance with the GRI Sustainability Reporting Standards.

Helsinki, 15 February 2023
KPMG Oy Ab

Tomas Otterström
Partner, Advisory

Esa Kailiala
Authorized Public Accountant

[1] Energy (GRI 302-1, 302-4, CRE1), Water (GRI 303-3, CRE2), Emissions (GRI 305-1, 305-2, 305-3, 305-5, CRE3), Effluents and waste (GRI 306-3), Land remediated and in need of remediation (CRE5), Environmental compliance (GRI 307-1), Supplier environmental assessment (GRI 308-1).